

MeritQuant — Autonomous Trade Report

PRE-CLOSE · 3:30 PM ET · 26 Jun 2026 · 23:48 UTC

Market Assessment

Risk-on regime confirmed: VIX neutral at 18.4, positive yield curve at +0.31%, and HY spreads exceptionally tight indicating healthy credit. Semiconductor/AI complex shows broad strength with multiple STRONG BUY signals on constructive RSI pullbacks. Constructive backdrop for adding quality semi exposure, though portfolio is already heavily concentrated in the sector.

REGIME: RISK-ON

Macro Snapshot

Indicator	Value	Indicator	Value
VIX	18.41	US Dollar (DXY)	101.37
Yield Curve 10Y-2Y	0.31	HY Credit (bps)	2.78
10Y Treasury (%)	4.40	Fed Funds Rate (%)	3.63

Trade Decisions

ENTER — NVDA

\$18,000 | Conviction 8/10 | Tier 1

Thesis: (1) Risk-on regime with tight HY spreads (2.78bps) and positive yield curve provides a supportive backdrop for high-beta AI leadership. (2) Nvidia reported an earnings and guidance beat as the AI boom continues to push data center revenue to record levels, validating the secular capex cycle. (3) Technically, RSI sits at a deeply oversold 37.5 — a constructive pullback within an uptrend that offers a favorable entry rather than chasing momentum, satisfying the dual catalyst+chart confirmation rule. (4) Sizing at the full \$18,000 (~9.8%) cap is justified by the scanner's 9.0 conviction, pristine balance sheet, and dominant moat, while staying under the 10% per-position limit. (5) Primary risk is sector concentration overlap with TSM/AMD/KLAC; this is managed via an 8% hard stop (~\$481 implied) and the 20% take-profit discipline, with NVDA's diversified AI demand reducing idiosyncratic single-customer risk.

Catalyst: Q earnings and guidance beat driven by record data center AI revenue.

Technical Setup: RSI 37.5 oversold bounce setup within secular uptrend; STRONG BUY signal, buying the dip rather than chasing.

Risk Factors: Heavy semiconductor concentration in portfolio; AI capex digestion risk; high-beta drawdown in any VIX spike.

Portfolio Snapshot

Total: **\$169,545** | Cash: **\$79,602** | Positions: **5/6**

Ticker	Shares	Entry	Current	Value	P&L \$	P&L %
CLOU	839.0	\$21.45	\$22.14	\$18,575	+\$575	+3.2%

TSM	40.1	\$449.32	\$432.35	\$17,320	\$-680	-3.8%
KLAC	72.2	\$235.45	\$248.64	\$17,952	\$+952	+5.6%
AMD	34.7	\$518.84	\$521.58	\$18,095	\$+95	+0.5%
NVDA	93.5	\$192.53	\$192.53	\$18,000	\$+0	+0.0%

Notes: Adding NVDA brings positions to 5/6 and deploys ~\$18k of the \$97.6k cash. Portfolio is now heavily semiconductor/AI-weighted (NVDA, TSM, AMD, KLAC plus CLOU cloud) — concentration risk is the dominant exposure and no further semi adds should be made; the final slot, if used, should diversify (e.g., hedge or non-semi). TSM is the weakest holding and is on watch for stop discipline.

Memory applied: Avoided re-entering AVGO despite its 10.0 scanner score and STRONG BUY — prior AVGO trade hit stop at -9.9% with the lesson to verify thesis confirmation before full sizing. Applied that lesson broadly by buying NVDA on an oversold RSI dip (37.5) with confirmed earnings beat rather than chasing momentum, and by not over-sizing into the already-concentrated semi book.